EXECUTIVE SUMMARY

1. Introduction

The Municipality of Alcala was established as a regular municipality by virtue of Royal Decree dated July 20, 1787 by then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

We conducted financial, compliance and value-for-money audit on the accounts and operations of the Municipality of Alcala covering the period from January 1 to December 31, 2016. The audit consisted of review of local operating procedures, processes and practices being done by the agency, inspection of the Municipality's programs and projects/activities, interview with concerned officials/employees, verification, reconciliation and analysis of financial accounts and other audit procedures and techniques considered necessary under the circumstances.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

Particulars	2016	2015	Increase(Decrease)
Financial Condition			
Total Assets	₱ 207,744,294.50	192,191,060.41	₱ 15,553,234.09
Total Liabilities	63,046,400.70	44,827,639.01	18,218,761.69
Total Government Equity	144,697,893.80	147,363,421.40	(2,665,527.60)
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	144,610,946.50	111,855,129.68	₱ 32,755,816.82
Total Expenses (Includes Total Operating			

Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	127,560,318.88	87,492,209.60	40,068,109.28
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	₱ 160,292,504.27	₱122,942,004.44	₱ 37,350,499.83
Appropriations-Continuing	47,280,072.63	27,999,988.07	₱ 19,280,084.56
Allotments – Current	160,292,504.27	122,942,004.44	37,350,499.83
Allotments –Continuing	47,280,072.63	27,999,988.07	19,280,084.56
Obligations – Current	124,025,988.90	84,128,819.64	39,897,169.26
Obligations -Continuing	24,651,702.80	₱ 7,678,956.90	16,972,745.90
	2016	**2015**	**Inc/(Dec.)**
Funds Received from Other Agencies			
NGAs	₱11,595,451.49	₱ 7,497,253.74	₱ 4,098,197.75
LGUs	250,000.00	1,551,607.53	(1,301,607.53)
NGO/POs	0.00	0.00	0.00
Others	200,000.00	0.00	200,000.00
Total	**₱12,045,451.49**	**₱ 9,048,861.27**	**₱ 2,996,590.22**
Funds Transferred to Other Agencies			
NGAs	₱12,625,000.00	₱ 262,067.56	₱ 12,362,932.44
LGUs	0.00	345.57	(345.57)
NGO/POs	0.00	0.00	
Others	0.00	0.00	0.00
Total	**₱12,625,000.00**	**₱ 262,413.13**	**₱ 12,362,586.87**

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements due to the effects of (a) the reliability of the Property, Plant and Equipment accounts with a carrying value of ₱107,137,472.55 which could not be ascertained due to the non-conduct by the General Services Office of physical count of PPE and to submit the corresponding report as of year-end; (b) cash advances granted to both the ICO-Assistant Municipal Treasurer in the total amount of ₱2,451,863.80 remained unliquidated at the end of the year.

4. Summary of Significant Observations and Recommendations:

1. The municipality did not conduct physical count of properties as of December 31, 2016 hence, validity, existence and correctness of the PPE

balance in the financial statements amounting to ₱107,137,472.55 rendered doubtful and unreliable.

We reiterated our previous recommendation that management conduct physical count of all properties found in station and submit the corresponding Report of Physical Count of PPE, same will be reconciled with the accounting records.

We further recommended management suspend the salary of the person responsible in case of failure to prepare and submit the required reports without justifiable reason, until complied with pursuant to Section 122 of Presidential Decree No. 1445. Management should likewise initiate disciplinary action against person responsible for negligence in the discharge of their official duties.

2. **Cash advances granted to the ICO-Assistant Municipal Treasurer and Cash Clerk with accumulated amount of P4,181,547.33 and P21,400.00, respectively, for salaries and wages were granted in excess of the net amount of payroll and not liquidated within the prescribed period contrary to Section 4.2.1 of COA Circular No. 97-002.**

   We recommended that management instruct the Accounting Office to grant cash advance equal to the total net amount in the payroll pursuant to Section 4.2.1 of COA Circular No. 97-002. Further, require the concerned officials to liquidate immediately the amounts or refund the excess amount in order to relieve them from accountability.

3. **Subsequent cash advances amounting to ₱2,451,863.80 was granted to the ICO/Asst. Municipal Treasurer even without settlement and/or liquidation of the previous cash advance in violation of COA Circular No. 97-002 dated February 10, 1997. Likewise, there were no specific purpose indicated thereof.**

   We recommended that the Accounting Office should not certify disbursement vouchers or grant subsequent cash advance without requiring submission of liquidation reports by the concerned official. Failure to liquidate cash advances shall constitute cause of filing of malversation charge under Article 217 and Article 218 both of the Revised Penal Code or criminal prosecution under Section 128 of PD 1445.

4. **Advances to officers and employees (1-03-05-040) balance totaling to ₱1,937,183.94 remained unliquidated at year-end due to non-monitoring of the submission of liquidation documents within the prescribed period by the concerned accountable officers and employees as provided under Section 89 of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997. The non-submission of liquidation documents resulted in the understatement of expenses and overstatement of the assets at year end.**

We recommended that management require the accountant to send demand letters to all persons concerned if no liquidation reports are submitted within the prescribed period, otherwise cause the withholding of their salaries pursuant to paragraph 9.2 and 9.3 of COA Circular No. 97-002 and the institution of necessary sanction as provided under COA Circular 2012-004.

5. **Cash advances were granted to the Municipal Mayor for purposes other than for travelling expenses in the total amount of P1,600,000.00 in violation of Section 4.1.1.4 of COA Circular No. 97-002 dated February 10, 1997. Moreover, additional cash advance was granted without prior settlement and accounting of the previous cash advance in violation of Section 4.1.1.2 of the same circular.**

   We recommended that the accountant stop the practice of granting cash advance to elective officials other than their travelling expenses pursuant to Section 4.1.1.4 of COA Circular No. 97-002 dated February 10, 1997.

5. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	0%
Current Year	0.00	0.00	0.00	0.00	0%
Total	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**	**0%**
Disallowances					
Prior Years	₱164,300.41	₱ 0.00	₱ 0.00	₱164,300.41	0%
Current Years	0.00	0.00	0.00	0.00	0%
Total	**₱164,300.41**	**₱ 0.00**	**₱ 0.00**	**₱164,300.41**	**0%**
Charges					
Prior Years	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	0%
Current Years	0.00	0.00	0.00	0.00	0%
Total	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**	**0%**

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 10 unimplemented audit recommendations embodied in the 2015 Annual Audit Report, two (2) were fully implemented while eight (8) are not yet implemented.